CLASSIFICATION · CONFIDENTIAL

Mara Heritage Bank Board Pack — Q3 2025

Board Chair and Chief Executive Officer · 25 June 2025

Prepared for Mara Heritage Bank Board of Directors · Q3 2025 · 25 Jun 2026 · 08:10 UTC

Executive summary

Fifteen months into the five-year plan, the board meets at a strategic decision point. Digital operational delivery exceeds targets across every metric: mobile transactions run at 2.4× baseline, uptime holds at 99.6%, cost-to-serve on retail customers has fallen 18%. The capital position remains comfortable at 16.4% CET1, providing 240 basis points above the internal floor. Two concentrations require board decisions: real estate exposure has reached 31.2% against a 25% internal guideline, and digital lending NPLs have stabilised at 9% — materially above the 6-7% cohort model that underpinned the original strategy. Both meet the strategic plan's definition of material divergence. The CEO recommends lowering the digital revenue target from 18% to 16% by FY28 and pivoting from unsecured consumer credit toward secured digital lending. This meeting determines whether the board affirms that course correction or requires external validation before committing capital.

Index

01. Performance

02. Risk

03. Capital

04. Strategy

05. Governance

Performance

Digital platform delivering, cohort assumptions revised

The digital transformation platform is performing. Mobile transaction volumes reached 2.4× the FY24 baseline in Q3. Digital channel uptime has been maintained at 99.6% over the period. Customer satisfaction scores on digital channels are at parity with the best peer in the market. Branch traffic on routine transactions has fallen 31%, confirming that the channel shift is occurring as modeled.

Cost efficiency gains are being realised. Cost-to-serve on retail customers has fallen 18% year-on-year, driven by transaction migration to digital channels. The technology platform investment is producing the expected operational benefits: the bank is executing the digital transformation plan as designed.

The digital lending book has crossed 9% of risk-weighted assets, ahead of the original trajectory. However, NPLs on digital lending have reached 9% in Q3, against a cohort model that anticipated steady-state NPLs of 6-7%. Management's current assessment is that the steady state will settle in the 8-11% range. This is within tolerance for a high-margin product but materially above the original assumption. The cohort dynamics were insufficiently understood at strategy approval.

The digital revenue contribution target for FY28 — 18% of total revenue — was modeled on the original NPL assumption. At the revised NPL estimate, achieving that target would require substantially more book growth or a different product mix. The CEO recommends Option 3: pivot the digital lending product mix away from unsecured consumer credit toward secured digital lending, and reduce the FY28 digital revenue target to 16%. [], [], [], [], [], [], []

Risk

Two concentrations breach internal thresholds

Real estate concentration has reached 31.2%, breaching the 25% internal guideline by 620 basis points. The concentration has risen 4.2 percentage points over the cycle. Risk-weighted assets have grown more slowly than the loan book due to mix shift, which has preserved capital headroom despite the concentration drift. The breach occurred during a strategic period explicitly focused on diversification, which raises questions about portfolio discipline.

The Strategic Capital Allocation Framework states that new corporate facilities in real estate must clear hurdle rates that reflect the loaded weight. The concentration breach suggests either that the hurdle rates were not implemented as intended or that they were insufficient to constrain real estate growth relative to other sectors. Management has been asked to clarify the mechanism by which concentration rose despite the framework's guardrails.

Digital lending NPL risk sits at 9%, as noted. This represents unproven cohort dynamics that were flagged in the capital allocation framework as a material risk. The framework stated that capital allocation to digital lending would increase as cohort performance was observed, with the option to slow or accelerate based on actual NPL trajectory. The board is now being asked to make that decision: slow the digital lending trajectory by pivoting product mix, or accept higher NPLs and maintain the original revenue target.

Both issues meet the strategic plan's definition of material divergence: more than 200 basis points off path on primary targets. Real estate concentration is 620 basis points above guideline. The digital revenue trajectory is being revised downward by 200 basis points. The strategic plan committed to annual review in the event of material divergence. This meeting is that review. [], [], [], [], [], []

Capital

Position comfortable, allocation framework tested

The CET1 ratio stood at 16.4% at end-Q3, providing 240 basis points of headroom against the internal floor of 14%. Total capital ratio of 19.1% sits 360 basis points above the regulatory minimum of 15.5%. The capital position remains comfortable despite the real estate concentration drift and the digital lending NPL revision.

The Strategic Capital Allocation Framework reserves 100-150 basis points of CET1 headroom for opportunistic deployment. The current 240 basis points of headroom provides capacity for the strategic refresh, but it does not provide capacity for simultaneous opportunistic deployment and material deterioration in either real estate or digital lending portfolios. The board should clarify whether the framework's reserve for opportunistic deployment remains live, or whether it is being re-allocated to risk buffers given the two concentration issues.

The framework states that material deviation from business line capital allocations requires board discussion. The CEO's recommendation to pivot digital lending product mix constitutes such a deviation: it shifts capital allocation within digital lending from unsecured consumer credit to secured digital lending, with different margin profiles and growth trajectories. The board is being asked to approve that shift and to approve the revised FY28 digital revenue target of 16%. [], [], [], []

Strategy

Mid-course correction recommended

The five-year strategic plan approved in early 2024 committed to Option C: a balanced path that preserves corporate banking strength while building digital capability incrementally, with

milestones that allow course correction. Fifteen months in, the board is at the first such milestone. The question is whether the course correction required is tactical — reduce a revenue target, tighten a product mix — or strategic — re-examine the digital lending thesis entirely.

The CEO's recommendation is tactical: pivot from unsecured consumer digital lending to secured digital lending, accept margin compression in the digital book, reduce the FY28 digital revenue target from 18% to 16%, and maintain the digital transformation investment trajectory. The recommendation rests on the judgment that the unsecured consumer digital lending thesis was a strategic error at product level, but that the digital transformation platform itself is sound. The operational metrics support that distinction.

The alternative is to require external validation of the revised cohort model before committing to the pivot. The CEO's recommendation rests on management's revised NPL estimate of 8-11% steady state. If that estimate is wrong — either too pessimistic or too optimistic — the pivot may be premature or insufficient. An external review would delay the decision by one quarter but would provide independent assurance on the cohort dynamics.

On real estate concentration, no course correction is proposed beyond the existing Strategic Capital Allocation Framework commitment to hold or modestly grow corporate banking. The framework already requires new real estate facilities to clear higher hurdle rates. The board should decide whether holding the current trajectory is sufficient, or whether active portfolio reduction is required to bring concentration back to the 25% guideline within a defined timeframe. [], [], []

> “The unsecured consumer digital lending thesis was a strategic error — the cohort dynamics were not adequately understood at the original strategy approval — and pivoting now is preferable to defending the original choice.”

Governance

Materiality thresholds triggered

The five-year strategic plan committed to annual review in the event of material divergence, defined as more than 200 basis points off path on any of the five primary targets. Two targets have breached that threshold: real estate concentration (620 basis points above guideline) and digital revenue trajectory (200 basis points below original target under the CEO's recommendation). This meeting constitutes the required annual review.

The Strategic Capital Allocation Framework states that allocations outside ±20% of business line targets require board approval. The CEO's recommendation to pivot digital lending product mix falls within that requirement. The board is being asked to approve the pivot, the revised revenue target, and the continued capital allocation to digital lending under the revised assumptions.

The board should clarify two governance questions. First: does the real estate concentration breach require a formal remediation plan with quarterly milestones, or is the existing capital allocation framework sufficient? Second: does the digital lending cohort model revision require external validation, or is the board comfortable approving the pivot on management's revised estimate? [], [], []

Recommendations

1. Board — approve or decline the CEO's recommendation to pivot digital lending product mix from unsecured consumer credit to secured digital lending, and to reduce the FY28 digital revenue target from 18% to 16% by this meeting

2. Board — determine whether the revised digital lending NPL estimate (8-11% steady state) requires external validation before committing capital to the pivot by this meeting

3. Board — clarify whether the real estate concentration breach (31.2% vs 25% guideline) requires a formal remediation plan with quarterly milestones, or whether the existing Strategic Capital Allocation Framework is sufficient by this meeting

4. Management — clarify the mechanism by which real estate concentration breached the 25% guideline despite the Strategic Capital Allocation Framework's requirement for higher hurdle rates on new real estate facilities by pre-read circulation (prior to board meeting)

5. Risk Committee — review the transition plan for pivoting the existing unsecured digital lending book to secured digital lending, and assess near-term loss crystallisation risk by Q4 2025

6. Management — quantify the CET1 impact of the proposed digital lending pivot, including transition costs and margin compression on the secured digital product mix by board decision meeting materials

Sources

[1] mara-heritage-bank-board-pack-q3-2025.pdf

[2] mara-heritage-bank-board-pack-q3-2025.docx

[3] mara-heritage-bank-board-pack-q3-2025.docx

[4] mara-heritage-bank-board-pack-q3-2025.docx

[5] Digital Transformation Strategy — Strategic Refresh

[6] Strategic Capital Allocation Framework

[7] Five-Year Strategic Plan 2024-2028 — Executive Summary